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RIDING ON BULLISH investor interest, companies in the healthcare, pharmaceuticals and diagnostics sector are rushing to tap the initial public offering (IPO) market. The Covid-19 pandemic, which created special interest in healthcare and related sectors, seems to have been the trigger. According to PRIME Database, which tracks India's primary capital markets, at least 13 IPOs were launched in

the past two years in these sectors. That is a significant rise from earlier years. "There is a pickup in the number of IPOs in the past two years. There were three IPOs in one year on an average over the past five years, but there were seven IPOs per year in the past two years, which is a very good number," says Pranav Haldea, Managing Director of PRIME Database Group. The most recent IPO, in November 2022, was that of Global Health, which operates the Medanta hospital in Gurugram. The IPO comprised fresh issuance of shares worth up to ₹500 crore and an offer-for-sale of up to 50.76 million equity shares.

As Haldea points out, the pipeline of IPOs in healthcare, pharmaceuticals and diagnostics looks strong. Data from PRIME Database shows that at least eight companies from the sector have already received markets regulator Securities and Exchange Board of India's (Sebi) approval for raising around ₹18,000 crore, and would launch their IPOs soon. These are Veeda Clinical Research, GPT Healthcare, Wellness Forever Medicare, API Holdings, Kids Clinic India, Macleods Pharmaceuticals, Yatharth Hospitals & Trauma Care Services and Concord Biotech. In addition, several others have filed their Draft Red Herring Prospectuses (DRHPs) with Sebi for IPOs, and are awaiting approvals, including Mankind Pharma, Infinion BioPharma, Innova Captab, Healthvista India and Blue Jet Healthcare. These companies may together raise

₹18,000 CRORE

THE TOTAL AMOUNT LIKELY TO BE RAISED BY THE EIGHT HEALTH SECTOR COMPANIES THAT HAVE SEBI'S APPROVAL FOR PUBLIC OFFERS

another ₹9,700 crore, according to PRIME Database. New Delhi-headquartered Mankind Pharma's IPO size alone is expected to be approximately ₹5,500 crore, one of the largest by a domestic pharma company.

"We like companies that are focussed on the manufacturing of active pharmaceutical ingredients (APIs), which are the biologically active component of a drug product, and have proven capability to be either cost leaders or have strong research and development capabilities," says Aditya Sood, Fund Manager at InCred Multicap Portfolio. Several of the bourse-hitting firms answer to that description.

Not surprisingly, more are planning to join the party. Companies like Emcure Pharma, VLCC Healthcare and Skanray Technologies have made announcements about launching their IPOs of ₹4,500 crore, ₹300 crore and ₹400 crore, respectively. In diagnostics, Vijaya Diagnostics was listed on the BSE on September 14, 2021, and online pharmacy PharmEasy is also planning to come up with an IPO, per PRIME Database.

Then, biotech major Biocon's subsidiary Biocon Biologics says it will look at an IPO over the next 12-24 months, with the exact timing being governed by market conditions. The company, which raised about \$330 million in January 2021 from private equity investors such as True North, Tata Capital, Goldman Sachs and ADQ, acquired the global biosimilars (medicines similar to their branded reference medicines) business of its long-term partner Viartis in November 2022. "These investments and the Viartis acquisition are a testament to Biocon Biologics' proven capabilities and reflect the high level of conviction investors have in the company," says Shreehas Tambe, CEO & MD of Biocon Biologics. "With over \$70-bil-